conclude that it is no more an agrarian economy.

(ii) The share of its tertiary sector increased to over 67.5 per cent in its GDP by 2012–13. This proves India is a service economy.

(iii) The dependency of population on the primary sector for its employment still remains at over 56.8 per cent—a symptom of an agrarian economy. The expansion of the industries was not sufficient to attract the labour force from the primary activities. India is still lagging on this front badly.

(iv) The share of the secondary sector in its GDP is at 27 per cent and never crossed 40 per cent.

(v) India has been basically the first case which directly had either over 50 per cent of its GDP coming from the primary sector or the tertiary sector—an agrarian economy shifting directly to the service economy (at least partially, if we forget the dependency ratio of the population on the sectors). It means India jumped the stage of being a fully-developed industrial economy!

Without fully realising the industrial and manufacturing potential and directly merging into a service economy, has created tougher macro and micro challenges for policy makers in India.

1a. Samuelson, P.A and Nordhaus, W.D., ***Economics,*** Tata McGraw-Hill Pub. Company Ltd., N. Delhi, 2005, p.4.

1b. Stiglitz, J.E and Walsh, C.E., ***Economics,*** W.W. Norton & Company, New York, 2006, p.6.

2. J.K. Galbraith, ***A History of Economics***, Penguin Books, London, 1991, p. 188–89.

3. ***The East Asian Miracle,*** W.B. Study, 1993.

4. ***World Development Report, 1999,*** World Bank, 1999.

5. A highly concise and to-the-point idea on the issue comes from Joseph. E. Stiglits, ***The Role of Government in Economic Development,*** the keynote address at the *Annual World Bank Conference on Development Economics 1996.*

6. Michael P. Todaro and Stephen C. Smith, ***Economic Development,*** Pearson Education, 8th Ed., N. Delhi, 2004, p. 44.

* Economic Survey 2012-13, MoF, GoI, p.3. .

7. Walt W. Rostow, ***The Stages of Economic Growth: A Non-Communist Manifesto***, Cambridge University Press, London, 1960, pp. 1–

8. The discussion on National Income Accounting is based on several textbooks of Economics and the documents released by the ***International Monetary Fund (IMF)*** and ***World Bank***